NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)
PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 08.02.2023 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(CAA)No.8/230/AMR/2022	IA (Companies Act)/3/2023	Rule 11 of NCLT Rules	Sri Vasavi Industries Limited (Transferor Company) and Rajadhiraj Tirupani Vinayak Natraj Private Limited

ORDER

IA (Companies Act)/3/2023:

Ms.Neha Somani, PCS for the Applicant present. IA(Companies Act)/3/2023 is allowed, vide separate orders.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

RSN

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI
*** *** ***

IA (Companies Act) No. 3/2023
IN
CA (CAA) No. 8/230/AMR/2022

In the matter of the Companies Act, 2013
AND
In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation between Sri Vasavi Industries Limited (Transferor Company) and Rajadhiraj Tirupani Vinayak Natraj Private Limited (Transferee Company)

Between:

Sri Vasavi Industries Limited,
Registered office at V R Agraharam,
Rajam, Andhra Pradesh -532127
.... Applicant/Applicant/ Transferor Company

Order Pronounced on: 08.02.2023

Coram:

Justice Telaprolu Rajani, Member Judicial.

For the Applicant : Mr.Manoj Kumar Banthia, PCS &
Ms.Neha Somani, PCS

Per: Justice Telaprolu Rajani, Member Judicial.

CORRIGENDUM ORDER

1. This Application is filed by the Applicant Companies under Rule 11 of NCLT Rules read with Section 230 and 232 of the Companies Act, 2013 seeking to modify the order dated 06.01.2023 and the

modifications sought for are in respect of the equity shares which are mentioned as 15,00,000 in paragraph of the order instead of 15,00,00,000. The modification sought for is as 15,00,00,000. It can be seen that the mistake has crept in to the order by oversight, as, in the petition it is very much mentioned as 15,00,00,000. Hence said modification accordingly shall be made in the order.

2. The next modification sought for is with regard to the quorum for the meetings of the Unsecured Creditors which is specified as 15 in point (j) of Para No.8.

3. The counsel for the Applicant submits that in the order it is mentioned that the quorum shall be in accordance with Section 103 of the Companies Act, 2013 and apart from that it was mentioned as 15. The Unsecured Creditors in total are only 18 in numbers, hence she submits that it would suffice if the quorum according to Section 103 of the Companies Act, 2013 is ordered to be maintained. Hence recording the said submission, the said modifications as sought for, are accordingly accepted and the words" the quorum for the meetings of Unsecured Creditors shall be 15" shall be deleted.

4. Rest of the contents of the order dated 06.01.2023 remain the same. This Corrigendum Order to be read along with the original Order.

Sd/- dated 08.02.2023
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATI BENCH, AT MANGALAGIRI

CA (CAA) No.8 /230/AMR/2022

In the matter of the Companies Act, 2013
AND
In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation between SRI VASAVI INDUSTRIES LIMITED (Transferor Company) and RAJADHIRAJ TIRUPANI VINAYAK NATRAJ PRIVATE LIMITED (Transferee Company)

Between:

Sri Vasavi Industries Limited,
Registered office at V R Agraharam,
Rajam, Andhra Pradesh -532127

.... Applicant/ Transferor Company

Order Pronounced on: 06.01.2023

Coram:

Justice Telaprolu Rajani, Member Judicial.

For the Applicant : Mr.Manoj Kumar Banthia, PCS &
Ms.Neha Somani, PCS

Per: Justice Telaprolu Rajani, Member Judicial.

ORDER

1. The present Company Application filed under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by

the Applicant Company inter alia seeking an order to direct for convening and holding of meeting of Equity Shareholders of the Applicant Company for consideration of the Scheme of Amalgamation ("Scheme" for short) with RAJADHIRAJ TIRUPANI VINAYAK NATRAJ PRIVATE LIMITED (Transferee Company), Registered Office of the Applicant/Transferee Company is situated in the State of West Bengal.

2. The Registered Office of the Applicant Company is situated in the State of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of present case are as follows:

a) M/s.Sri Vasavi Industries Limited (CIN: L27109AP1985PLC005259), Applicant/Transferor Company was incorporated on 22.01.1985 under the Companies Act, 1956 in the name and style of Sri Vasavi Steel Industries Private Limited and the status of the company was changed from Private Limited to Public Limited. The Authorised Share Capital as on 31.03.2022, was Rs.65,00,00,000/-, divided into 6,50,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.15,00,00,000/- divided into 1,50,00,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of

manufactures, producers, re-rollers, importers, exporters, dealers, either retail or wholesale of steel, copper, aluminum, ferrous and non-ferrous metals, distributors of all kinds of metals, billets, ingots, scrap, etc.

b) The Transferee Company i.e., Rajadhiraj Tirupani Vinayak Natraj Private Limited (RTVNL) and the Applicant Company are in the same business activities but the Transferee Company does not have manufacturing facility. This amalgamation would pave better opportunities for Transferee Company by way of backward integration to the extent possible. The synergies created by the amalgamation would increase the operational efficiency and integrate business functions, and the amalgamation will also reduce the managerial overlaps involved in operating different entities, ease and increase operational and management efficiency and integrate business functions. It would be in the best interests of the shareholders of the Applicant Company.

c) The scheme will provide an opportunity to leverage, combine assets and build a stronger sustainable business. Specifically, the merger will enable optimal utilization of existing resources. The Applicant Company and Transferee Company are carrying on business activities under the same management group, therefore it would be beneficial for the Applicant

Company to merge with Transferee Company and thus strengthen the position of the merged entity.

d) The Board of Directors of the Applicant Company, in the Board Meeting held on 19.10.2022 have approved the Scheme of Amalgamation with appointed date as 10.11.2021, subject to the approval of their shareholders and creditors.

4. No investigation or proceedings have been instituted or are pending in relation to both the Applicant Companies.

5. The Applicant Company has filed certificate of the Auditor stating that as on 31.08.2022, there are two (2) Equity Shareholders, together holding 15,00,000 equity shares.

6. The Applicant Company has filed certificate of the Auditor stating that the Applicant Company is having only one class of creditors i.e., Unsecured Creditors as on 31.08.2022 and there are Eighteen (18) Unsecured Creditors, having a debt of Rs.57,29,69,567.33/-.

7. Heard the submissions made in this regard by Mr.Manoj Kumar Banthia, Practicing Company Secretary (PCS) & Ms.Neha Somani, (PCS) appearing for the Applicant Company and perused the documents filed.

8. With regard to the **Equity Shareholders, Unsecured Creditors** of the Applicant Company this Tribunal passed the following order:-

a) A meeting of the **Equity Shareholders** of the **Applicant Company** shall be held on **17.02.2023 at 01:00 PM,** at the registered office of the Company at VR Agraharam, Rajam, Srikakulam District, AP-532127 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

b) **Mr.Ambati Sai Varun, Advocate** (Mobile No. **8978200876**; email:**varun.ambati@varunalaw.com)** shall be the **Chairperson** of the meeting of the Equity Shareholders and in respect of any adjournment thereof.

c) **Mr.Sunkara Venkateswara Rao, FCS** (Mobile No. **9440952700**; email: **svraocs@gmail.com**) is appointed as the **Scrutinizer** for the meeting of Equity Shareholders and in respect of any adjournment thereof.

d) A meeting of the **Unsecured Creditors** of the **Applicant Company** shall be held on **17.02.2023 at 02:00PM,** at the registered office of the Company at VR Agraharam, Rajam, Srikakulam District, AP-532127 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

e) **Ms.Samireddy Sai Sarat Chandra, Advocate** (Mobile No. **7904917102**; email:**saratchandra0709@gmail.com**) shall be

the **Chairperson** of the meeting of the Secured Creditors and in respect of any adjournment thereof.

f) **Mr. Vamsi Narayana P, PCA** (Mobile No.**8099092883**; email:**vamsi.penumarthi@gmail.com**) is appointed as the **Scrutinizer** for the meeting of Secured Creditors and in respect of any adjournment thereof.

g) The remuneration of Chairman is fixed at Rs.**1,00,000/-** (Rupees One Lakh only) and remuneration of the scrutinizer is fixed at Rs.**50,000/-** (Rupees Fifty Thousand only) per each meeting.

h) At least one month before the date of the aforesaid meetings, an advertisement about convening of the said meetings, indicating the day, date, place and time, as aforesaid, shall be published in Business Standards (in English) and in Andhra Jyothi (in Telugu). The publication shall indicate the time within which copies of scheme shall be made available to the concerned persons, free of charge from the registered office of the Applicant Companies. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 of the Act and the prescribed form of proxy can be obtained free of charge at the Corporate Office of the Applicant Company or at the office of its Practicing Company Secretary i.e., Mr, Mr.Manoj Kumar

Banthia, PCS & Ms.Neha Somani, PCS, 8, Camac Street, Shantiniketan Building, 5th Floor, Room No.511, 8th Floor, Room No.813, Kolkata -700 017, in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

i) The Chairman/Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meeting referred to above. The Chairman is free to avail the services of the Applicant Companies or any agency for carrying out the aforesaid directions. The Chairman shall have all the powers under the Articles of Association of both the Applicant Companies and also under the Rules in relation to the conduct of the meeting, including for deciding any procedural questions that may arise at the meeting or adjournment(s) to the aforesaid scheme or resolution, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the sense of the meeting by ballot/polling paper at the venue of the meeting.

j) The quorum for the meeting shall be as per Provisions of Section 103 of the Companies Act, 2013. The Quorum for the meetings of Unsecured Creditors shall be 15 (Fifteen).

k) Voting by proxy/authorised representatives is permitted provided that the proxy in the prescribed form/authorisation

duly signed by the person entitled to attend and vote at the aforesaid meeting is filed with the Applicant Company at the Registered office at VR Agraharam, Rajam, Srikakulam District, AP-532127, not later than 48 hours before the meetings vide Rule 10 of the Companies (CAA) Rules, 2016 read with Section 105 of the Act.

l) The Chairman to file an Affidavit not less than 7 (seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

m) It is further ordered that the Chairman shall report to this Tribunal on the result of the meeting in Form No. CAA-4, duly verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 within seven working days.

n) In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, all the applicant companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the scheme of Arrangement, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern region; (b) the Registrar of

Companies, Andhra Pradesh (c) the Income Tax Authorities and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

9. With the above directions, the Company Application i.e. CA(CAA)/ 8/230/AMR/2022 is disposed of.

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu